

Tactical Information Systems (Accounting, Financial, and Marketing)

Tactical Accounting and Financial Information Systems

At the managerial level, managers may have to decide on tactical decisions that may have a big impact on an organization as a whole. These decisions are diverse, from selecting the appropriate staff to a branch, to the purchasing or leasing of equipment, and so on. Fortunately, the advent of information technology allows for various applications at the managerial level in order to handle particular organizational functions.

What is a Tactical Information System?

It is a type of information system that supports management decision-making by providing various types of reports, such as regular summary reports, exception reports, ad hoc reports, and other types of recorded information. The information in these reports, in turn, helps managers to control their areas of responsibility better, as well as allocate their resources efficiently in order to pursue organizational goals. While operational information systems focus on task completion, tactical information systems give particular focus on resource allocation and management.

What are Tactical Accounting and Financial Information Systems?

Tactical accounting and financial information systems are types of budgeting information systems that permit managers to track and compare actual revenues and expenses in order to produce estimates for expected revenues and expenses. It also allows managers to compare current budget amounts to those of prior fiscal periods, other divisions, other departments—even to industry-wide data. Comparisons of budget data against such standards allow managers to assess how they use their resources to achieve their goals. However, one must keep in mind that these systems only help a manager create decisions based on the data it provides; it is a decision support system, **NOT** an automated decision system.

Applications of Tactical Accounting and Financial Information Systems

Tactical Accounting and Financial Information Systems have different applications according to the type of cash-based asset they handle:

- **Cash Management System**—This system produces cash flow reports, which show the estimated amount of incoming and outgoing cash for a specific timeframe (usually monthly). This allows managers to manage cash on hand to ensure continued operation or facilitate possible expansion.
- **Capital Budgeting System**— This system focuses on producing information for the acquisition or disposal of assets for a given timeframe. Using evaluation tools and the system's data, a manager can compare information from current and previous timeframes in order to evaluate possible plans of asset acquisition (purchasing, leasing) and disposal (selling, refurbishment, or repurposing).
- **Investment Management System**— This system produces reports that allow a manager to oversee an organization's investments in stocks, bonds, or other securities as a separate, but nevertheless important aspect of cash management. Trading data managed by the system will allow management to ensure the achievement of organizational goals without compromising financial assets.

Tactical Marketing Information Systems

What is a Tactical Marketing Information System?

It is a type of information system that also has the ability to generate reports, but also has the capacity to create expected and unexpected output, such as comparative and descriptive information, summarized data as opposed to detailed data, data sources, and information processed from subjective and objective data.

Tactical marketing information systems usually work in tandem with operational information systems for marketing and finance through various means, such as processing of operational data. This allows tactical decision-making by marketing management, such as the implementation of marketing plans in order to reach sales and profit margins set by higher management.

Applications of Tactical Marketing Information Systems

Tactical Accounting and Financial Information Systems can have different applications according to a particular process in an enterprise:

- **Sales Management System**— This system allows managers to assess the productivity of a sales force, the profitability

of certain locations, and the success of the products further categorized by salespersons, location, and target demographic. It keeps track of activities, sales, orders, and customer activity, which allows a manager to identify points of interest in terms of location, performance, and demographics. Other specific processes include a comparison of performance to goals of a salesperson, analyze activities within operating territories or demographic, identify customer trends, and identification of potential supply and demand issues.

- **Advertising and Promotion System** – This particular system governs advertising and promotional tactics in order to achieve sales goals set by upper management. Managers must decide which advertising media and promotional devices to use to reach the selected market segments when to use these media and devices, and what overall mix of promotional activities to deploy to achieve sales goals.
- **Pricing System** – This system provides information to managers that allows them to set prices for products and services. Managers can employ marketing strategies to determine sales volumes and profitability margins based on market volatility.
- **Distribution Channel System** – This system provides information on costs for using various distribution channels; information may include timeframes for deliveries, time lags caused by use of certain channels, reliability ratings for channels based on delivery efficiency, and the market segment situation provided by the channels. These data can be used in tandem with demand and inventory of items across all levels of all channels so that the manager can anticipate shortages or oversupply of items.
- **Competitive Tracking System** – This system ensures an organization's marketing strategy can continue to satisfy customers by monitoring market volatility, specifically by gathering and processing information about major competitors and their activities. This allows managers to create a marketing strategy that matches a given market's needs and wants, which in turn allows an enterprise to avoid falling behind the competition in a given market.

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